Landlord Statements

Passion Homes requirements compared with the current system

Prepared for	Purpose	Date
Passion Homes	Review current coverage and define the changes needed	16 October 2026

Executive summary

Passion Homes has several different landlord agreements. The current system includes useful settlement components, including ownership percentages, commission rates, payment collection records, landlord ledger entries, payouts, and manual advances. However, it does not yet let staff select and apply each landlord's complete agreement when preparing a statement. As a result, some statements can show collections without calculating the landlord entitlement expected under the agreement, or can apply commission to charges that should be excluded.

Assessment: the current system is a foundation, but the four operating arrangements are not fully covered. A landlord/property-level agreement and a consistent settlement calculation are needed.

Passion Homes operating arrangements

1. Agreed rent, including vacant units

Pay the landlord the agreed rent for all units, even when a unit is vacant or rent has not been collected, less the agreed commission.

2. Agency pays service providers

Collect rent and service charges, pay the relevant providers, deduct those costs and commission, then pay the landlord. Some landlords may also receive advances when units are vacant.

3. Landlord pays service providers

Collect rent and service charges and pass them to the landlord. The landlord pays providers; Passion Homes deducts its commission.

4. Rent-only settlement

Collect rent, deduct commission, and pay the landlord their share. Service charges are handled separately or excluded from the rent settlement.

Current system coverage

Arrangement	Current coverage	Main gap
Agreed rent including vacancies	Not covered as described. Current settlement income is based on completed payments allocated to invoices.	No guaranteed or scheduled rent entitlement is calculated for vacant units.
Agency pays provider costs and may advance funds	Partly covered. Ledger debits and manual landlord advances exist.	The landlord agreement does not define which costs are deducted or set automatic advance rules.
Landlord pays providers; agency passes through collections	Partly covered. Collections can be reported.	No setting controls provider responsibility, service-charge pass-through, or commissionable categories.
Rent-only settlement	Partly covered. Actual collections are available.	Commission is not selectable by income category; service charges may be included in the commission base.

How current calculations work

For the property/landlord settlement, collection totals are drawn from completed payments allocated to invoices within the selected payment-date period. Amounts are grouped into rent, garbage, water, and other charges. The landlord ownership percentage is applied to those collections, and the configured property commission rate is applied to the landlord share.

The settlement closing balance is calculated from the landlord ledger: opening balance plus ledger credits, less ledger debits and remittances. This means collection totals and the amount due are related but distinct. A payment can appear in collections without increasing the amount due if the matching landlord-ledger credit has not been posted.

The landlord summary report also aggregates completed payment allocations and posted property expenses. It calculates commission on the owner share of collected amounts and subtracts the landlord's share of expenses. This summary is not a substitute for a settlement agreement that defines how each landlord is paid.

Recommended system changes

Record a settlement agreement for each landlord/property relationship. The agreement should be the source of truth for statement calculations and should support the following settings:

Setting	Required agreement detail
Settlement basis	Actual rent collected, or agreed rent entitlement for all units.
Vacancy treatment	Whether vacant units accrue rent payable to the landlord.
Included income	Rent, garbage, water, and other charge categories.
Provider responsibility	Pass charges through to the landlord, or record and deduct costs paid by Passion Homes.
Commission rules	Rate and commissionable categories, for example rent only or all collected income.
Advances	Whether advances are allowed, amount or calculation, frequency, and approval requirements.

Statement presentation and controls

Each statement should show separate, traceable lines for agreed rent entitlement, actual collections, service charges collected, provider expenses paid, commission, advances, previous payouts, and closing balance. For guaranteed-rent agreements, show the landlord's accrued entitlement separately from cash collected so the statement does not imply that uncollected rent is cash already received.

Calculations should use the recorded agreement for the statement period and retain an audit trail when an agreement changes. Staff should be able to see why a figure was included, excluded, or deducted. Payout controls should also show both the amount owed and the cash available for payment.

Conclusion

Passion Homes needs landlord statements that follow the contract for each landlord, rather than one collection-and-commission formula for everyone. The current system does not fully support the four arrangements described. Adding landlord/property-level settlement agreements and using them consistently in the ledger, reports, and payout workflow will make statements accurate, explainable, and easier to reconcile.